

HSAM 3008.401-71(d)
Sole-Sources Justification (SSJ) pursuant to Revolutionary Federal Acquisition Regulation Overhaul
(RFO) 8.401(b)
For orders or BPAs exceeding the Simplified Acquisition Threshold

SSJ No.: FY26-0093

This acquisition is conducted in accordance with the Multiple-Award Schedule Program, 41U.S.C. 152(3), Competitive Procedures, 40 U.S.C. 501, Services for Executive Agencies, and in accordance with Federal Acquisition Regulation (FAR) 8.401, FAR Class Deviation 25-20 for FAR Part 8¹, and General Services Acquisition Regulation (GSAR) 538.7104-3(b)(ii), “Only one source is capable of providing the products, services, or solution required at the level of quality required because the products, services, or solutions are unique or highly specialized and GSAR 538.7104-4(b)(1) Item peculiar to one manufacturer can be a particular brand name, product, or a feature of a product, peculiar to one manufacturer.”²

1. Agency and Contracting Activity.

The Department of Homeland Security (DHS), Office of Procurement Operations (OPO), Information Technology Acquisition Center (ITAC) proposes to award a Blanket Purchase Agreement (BPA) to Carahsoft Technology Corp for the procurement of Zscaler software licenses.

2. Nature and/or description of the action being approved.

DHS OPO intends to procure Zscaler software through General Services Administration (GSA) Federal Supply Schedule (FSS) contract number 47QSWA18D008F with Carahsoft. Carahsoft is the sole authorized master aggregator Distributor of Zscaler.

3. Description of Supplies/Services.

The Office of the Chief Information Officer (OCIO) requires Zscaler software and associated services to support the agency’s network and cybersecurity operations. Zscaler is a cloud native security platform that provides secure access to the internet and private applications based on a zero-trust security model, eliminating the need for traditional Virtual Private Networks (VPNs) and many legacy perimeter security appliances. Zscaler delivers Secure Web Gateway (SWG), Zero Trust Network Access (ZTNA), Cloud Access Security Broker (CASB), Data Loss Prevention (DLP), and Digital Experience Monitoring as a unified, cloud delivered service. It acts as an intermediary in the data path, inspecting traffic in real time to protect users, devices, and data from malware, phishing, and data exfiltration, while improving end user performance by processing traffic at the edge rather than backhauling it through agency data centers.

¹ FAR Class Deviation 25-20, for FAR Part 8 was issued as part of the evolutionary FAR Overhaul (RFO), which was implemented in response to Executive Order 14275, Restoring Common Sense to Federal Procurement, signed April 15, 2025. Any subsequent citations to FAR Part 8 in this document will be cited as “RFO FAR” for brevity and are referring specifically to FAR Class Deviation 25-20 for FAR Part 8.

² Class Deviation RFO-2025-FSS-GSAR-538: General Services Administration Acquisition Regulation (GSAR) Class Deviation, Federal Supply Schedule (FSS) Program Ordering Procedures.

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DHS requires support for a 12-month base period and one 12-month option period with an estimated total cost of \$ [REDACTED]

<u>Period</u>	<u>Total Price</u>
Base Period	\$ [REDACTED]
Option Period 1	\$ [REDACTED]

4. Authority and supporting rationale.

In accordance with RFO FAR 8.401, and GSAR 538.7104-4(a), Items peculiar to one manufacturer, Zscaler license features are essential to DHS' requirement and market research indicates other companies' similar products, or products lacking the particular feature, do not meet, or cannot be modified to meet, the need. Zscaler must be specified as the brand name because it is the only software that provides all core capabilities—secure web gateway, zero trust network access, CASB/DLP, and digital experience monitoring—as a single, cloud native, FedRAMP authorized platform that is already proven at very large federal scale. Competing offerings generally require multiple products or modules to approximate this scope, which increases integration complexity, operational overhead, and policy inconsistency. Zscaler's unified policy engine, common agent, and global multi-tenant architecture enables DHS to enforce consistent zero trust security controls across internet, SaaS, and internal applications while simplifying management and supporting the Department's multi-Component structure.

In accordance with RFO FAR 8.401 and GSAR 538.7104-3(b)(ii), only one source, Carahsoft Corporation is the sole authorized government sector distributor for Zscaler, and all authorized resellers must procure the licenses through Carahsoft. As a result, any acquisition executed through a third-party reseller would introduce an additional intermediary layer in the supply chain without adding value to the Government. This approach introduces security and contractual risk. Indirect procurement limits the Government's direct privity to enforce critical terms and conditions, including cybersecurity, data protection, and incident response requirements, and increases the likelihood of inconsistent or altered terms through reseller flow-down provisions. It also creates fragmented accountability in the event of a security incident or performance issue. In addition, it would increase total cost due to reseller markups layered on top of Carahsoft's pricing, create unnecessary pass-through fees, complicate contract administration and license management, delay delivery timelines due to indirect fulfillment processes. All resellers can only purchase Zscaler through Carahsoft, pricing originates from Carahsoft, and any reseller-provided quote is inherently dependent on Carahsoft's pricing structure. Therefore, procuring directly from Carahsoft eliminates security and contractual risks, and ensures the Government receives the most streamlined and cost-effective solution.

5. Determination by the ordering activity contracting officer that the anticipated order represents the best value consistent with RFO FAR 8.401 and GSAR 538.7102-2(b)(4).

The Contracting Officer has determined that issuing an order under the General Services Administration Multiple Award Schedule to Carahsoft Technology Corp. for Zscaler software

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represents the best value to the Government. Although multiple Schedule contractors appear capable of providing the required software, all must source the licenses through Carahsoft as the only authorized distributor for federal customers. Use of a third-party reseller would result in unnecessary markup, duplicative contracting layers, and increased administrative burden, while providing no pricing benefit since all quotes are derived from Carahsoft's baseline pricing. As a result, any alternative source would provide no additional technical benefit and would increase costs through pass-through pricing. The Zscaler licenses will be procured through Carahsoft's GSA schedule contract 47QSWA18D008F. GSA has determined the contractor's pricing to be fair and reasonable. In order to determine reasonableness, GSA reviewed the contractor's pricing and compared it to commercial prices. During the review by GSA, contractors must disclose their commercial sales practices, including discounts and markups. To further ensure price reasonableness, the Contracting Officer will request discounts and review the GSA contract ceiling to verify the proposed prices are within the ceiling.

6. A description of the market research conducted among schedule holders and the results, or a statement of the reason market research was not conducted.

DHS/OCIO conducted market research in early 2026 on similar products available commercially. The table below highlights vendors who meet or do not meet the government requirements. The vendors do not offer all these services in a single platform; therefore, selecting another vendor will require the use of multiple solutions to achieve equivalent functionality. This will result in increased complexity, higher operational costs, potential gaps in security coverage, and challenges with integration and management.

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Salient Characteristic / Requirement	Zscaler	[REDACTED]	[REDACTED]	[REDACTED]
Cloud-native, multi-tenant security platform (no on-prem security hardware required)	Yes	Yes	Yes	Yes*
Single integrated stack providing SWG, ZTNA, CASB/DLP, and Digital Experience Monitoring	Yes	No	No	No
Mature Zero Trust Network Access (ZTNA) suitable to replace VPN at large federal scale	Yes	Yes*	No*	No*
Proven ability to support 400,000+ users across multiple government components/tenants	Yes	Yes*	No*	No*
FedRAMP-authorized services actively used for internet and application security in federal agencies	Yes	Yes*	Yes*	Yes*
Full TLS/SSL inspection at scale with architecture designed around 100% traffic inspection	Yes	Yes*	Yes*	No*
Integrated CASB and DLP for web, SaaS, and private app traffic, including shadow IT discovery	Yes	No	Yes	No
Native Digital Experience Monitoring using same agent/control plane as core security services	Yes	No	No	No
Single logical policy engine and primary console for core functions (SWG, ZTNA, CASB/DLP, DEM)	Yes	No	No	No

The asterisks above (Yes* / No*) indicate the capability exists with other offerors but either is not as integrated, not as mature at the DHS scale, or typically requires multiple additional

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products/modules to match the full requirement which increases integration complexity, operational overhead, policy inconsistency and incurring additional costs.

While there are other vendors in the marketplace that provide Secure Access Service Edge (SASE) and Security Service Edge (SSE) capabilities, Zscaler is one of the few offerings that provides a mature, fully cloud-native, globally distributed platform that aligns with the agency's zero-trust, cloud-first and remote-work security requirements.

The results of the market research indicate that the proprietary software offered by Zscaler has several unique features and functions not presently available in the marketplace that meet the full scope of OCIO's requirements. Zscaler is the only solution that can fully meet the agency's operational and security requirements because it provides a mature, fully cloud native, and globally distributed Secure Access Service Edge (SASE) and Security Service Edge (SSE) platform that is purpose built around zero trust principles and cloud first architectures. Unlike other offerings that rely on legacy or hybrid designs, Zscaler's architecture delivers consistent, low latency access and security for all users, locations, and applications—on premises, in the cloud, and remote—without dependence on agency managed hardware. Its integrated capabilities (including secure web gateway, cloud firewall, CASB, and DLP) are delivered as a unified service, simplifying management while supporting compliance with federal cybersecurity requirements. Other vendors may provide subsets of these capabilities, but none offer the same level of platform maturity, end to end cloud nativity, global scale, and proven fit for our existing environment; therefore, Zscaler is the only product that can satisfy the agency's technical, security, and operational needs without introducing unacceptable risk, complexity, or performance degradation. Although the commercial marketplace offers various SASE/SSE products no other solution provides the same combination of application centric zero trust remote access, full traffic inspection, unified policy, and operational simplicity at the scale and maturity required by DHS without relying on multiple additional point products or accepting material gaps.

Furthermore, market research confirms that Zscaler subscriptions and associated services are available to the Government through the GSA Multiple Award Schedule (MAS) and other Government-wide contracts. These vehicles provide Zscaler licensing, support, and related professional services under pre-competed terms. Although several resellers are listed on these vehicles, all must obtain Zscaler licenses through Carahsoft Technology Corp., the only authorized distributor for federal customers. Utilizing an intermediary reseller would introduce an additional layer in the procurement process, resulting in security and contractual risks, pass-through pricing, added fees, and potential administrative inefficiencies. A direct award to Carahsoft Technology Corp. removes complicated contract administration, license management delays in delivery timelines due to indirect fulfillment processes, potential mission risks due to fragmented accountability in the event of a security incident or performance issue and unnecessary markups to ensure that the Government acquires the required Zscaler licenses in the most risk adverse and cost-effective manner. This approach supports a determination of fair and reasonable pricing by minimizing distribution costs and leveraging the manufacturer-authorized source. Therefore, it is recommended that Carahsoft's GSA Schedule be used to fulfill the DHS requirement.

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7. Any other facts supporting the sole-sources justification.

There are no additional facts to state.

8. A statement of action, if any, the agency may take to remove or overcome any barriers that led to restricted consideration (i.e., sole sources) before any subsequent acquisition of the supplies or services is made.

The government will continue to monitor the commercial marketplace for future capabilities that offer cloud security services to support secure internet and application access for DHS Headquarters and components.

9. DHS intends to post this sole source requirement at the Government-wide Point of Entry (GPE) pursuant to RFO FAR 8.401(b), GSAR 538.7104-3(b)(3)(ii)(A).

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